

Retention: what it actually means at Ares

Everyone says Ares is good at keeping clients. Almost nobody can say what that means mechanically, where it shows up in the numbers, or what the firm built to produce it. This answers all three — and compares it to the competition.

Part 1 — Retention is three different things. Most people conflate them.

Part 2 — Why a kept client is worth more than a won one

Part 3 — Five places retention is visible in Ares' own numbers

Part 4 — The machine that produces it

Part 5 — The disclosure test: Ares vs Blackstone, Apollo, KKR, Blue Owl

Part 6 — What investors actually say they want

Part 7 — Whether you'd actually enjoy this

Built from Ares' FY2025 Form 10-K and FY2019–FY2024 comparatives, Q1 and Q2 2026 earnings calls, and the 2025 Annual Shareholder Letter — plus the FY2025 10-K filings of Blackstone, Apollo, KKR and Blue Owl, read side by side. All SEC EDGAR.
Compiled 9 October 2026. Ares reports Q3 2026 on 29 October.

PART 1

Retention is three different things

And conflating them is the fastest way to sound like you've only read the marketing.

When Ares says 79% of its institutional fundraising came from existing investors, that single number is hiding three separate commercial motions. They need different skills, happen on different timescales, and are worth different amounts. If you can separate them in an interview, you are immediately ahead.

The three motions inside the word "retention"

1. THE RE-UP

An existing investor commits to the *next vintage* of a fund they already own.

ACE V investor → ACE VI

Timescale: every 2–3 years
Driven by: performance + how the last fund was serviced

The IR job protects this

2. THE CROSS-SELL

An existing investor buys a *different* Ares product for the first time.

Direct lending → infrastructure

Timescale: opportunistic
Driven by: trust already earned, plus knowing the whole shelf

Client Solutions drives this

3. NON-REDEMPTION

An investor in a perpetual vehicle simply *doesn't ask* for their money back.

The ASIF tender decision

Timescale: every single quarter
Driven by: confidence, and whether anyone explained

Both teams, continuously

Why the distinction matters commercially

The re-up is **episodic** — you get one shot every few years, and the decision is largely made before you ask. The cross-sell is where **growth** comes from, because it needs no new relationship. Non-redemption is **continuous and invisible** — nobody thanks you for it, and you only find out you failed when the tender requests arrive.

Ares' 79% figure explicitly covers the first two: existing investors who "committed to a new product" or "a subsequent fund vintage within the same product."

The 79% is a blended number. Ares' own wording separates the re-up from the cross-sell within it. Saying "seventy-nine percent came from existing investors — and that splits into re-ups and first-time buyers of a second product" shows you read the sentence, not the headline.

THE DEFINITION TO CARRY IN YOUR HEAD

Retention is not "clients being happy." It is the share of this year's revenue that did not require a new relationship to be created. That is why it is a business model rather than a service standard — and why a firm will spend heavily on it.

PART 2

Why a kept client is worth more than a won one

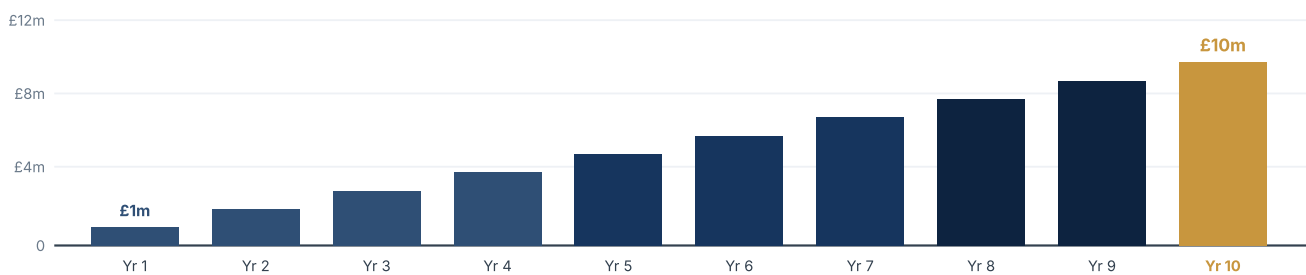
The economics, with actual numbers.

In most businesses, retention is cheaper than acquisition. In asset management the gap is far wider than usual, for three structural reasons that are specific to how this industry works.

2.1 A commitment is an annuity, not a sale

If you sell someone a car, you book the revenue once. If an investor commits £100m to an Ares fund, Ares earns a management fee on it **every year, for the life of the vehicle**. At Ares' blended effective rate of roughly 1%, that commitment is worth around **£1m a year** — and in a perpetual vehicle there is no end date at which it stops.

What one £100m commitment earns, cumulatively, at a ~1% blended fee



Illustrative, using Ares' roughly 1% blended effective management fee rate. Real fee bases step down after a fund's investment period; perpetual vehicles do not.

Ten years of one relationship is worth ten times the first year of it. This is why the firm staffs client service the way it does — and why losing a client is not losing a sale, it is losing an annuity.

2.2 The second product costs almost nothing to sell

Winning a new institutional investor is slow and expensive: a consultant screen, an RFP, operational due diligence on the firm's systems and controls, investment committee approval at the client, legal negotiation. That process can run **nine to eighteen months** and may involve dozens of people on both sides.

Selling a *second* product to that same investor skips nearly all of it. The operational diligence is done. The legal relationship exists. The trust is established. **This is why the cross-sell is the single most profitable motion in the business** — and why the 2025 Annual Shareholder Letter flags it as an explicit priority:

EDGE · THE SENTENCE THAT DEFINES THE OPPORTUNITY

"We ended 2025 with eight semi-liquid products in the wealth channel with at least one Ares product on more than 80 global platforms... **Nearly half of our global distribution partners currently offer just one Ares product**, highlighting the substantial opportunity to broaden our footprint within established partnerships and unlock incremental growth."

Ares 2025 Annual Shareholder Letter.

2.3 Retention is what makes the fee base defensible

Ares earns **93% of its management fees from perpetual capital or long-dated funds**. But "perpetual" does not mean "trapped" — investors in perpetual wealth vehicles can request redemptions each quarter, and in 2026 they did. The permanence of the fee base is therefore **not purely legal. It is partly behavioural**, and the behaviour is managed by the client teams.

THE CONNECTION MOST CANDIDATES MISS

The 93% statistic is usually quoted as proof of structural resilience. It is really a **joint** product of structure *and* service. The fund documents stop money leaving *quickly*. Only the relationship stops it leaving *at all*. Saying that out loud connects the firm's headline resilience statistic directly to the job you are applying for.

PART 3

Where retention actually shows up

Five pieces of disclosed evidence. This is the "how is it shown in the firm" answer.

Retention is easy to claim and hard to prove. Ares discloses five separate measures that, read together, make the claim verifiable. Here they are, with what each one does and does not tell you.

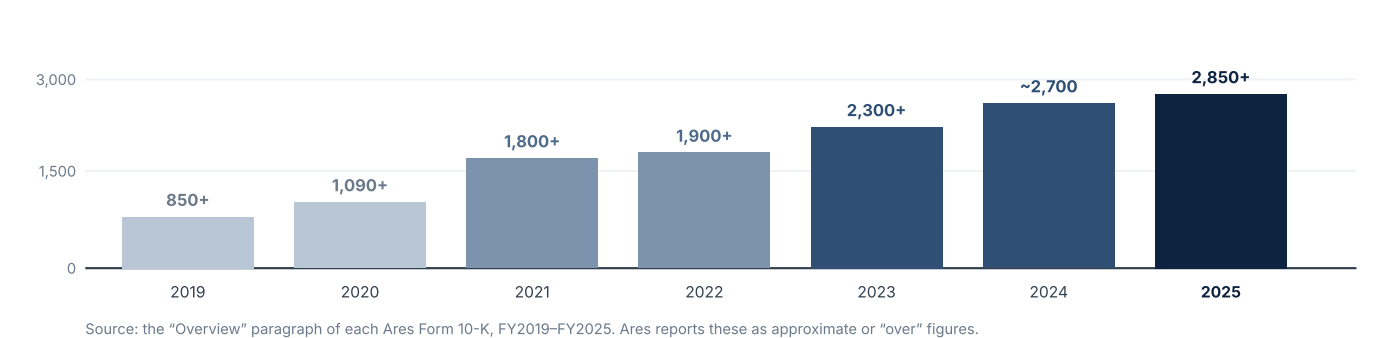
#	THE EVIDENCE	THE NUMBER	WHAT IT PROVES — AND ITS LIMIT
1	Share of fundraising from existing investors	79% of 2025 institutional fundraising	The headline. Covers both re-ups and cross-sells. Limit: it is a share, not a rate — a year with weak new-client acquisition would push it <i>up</i> , so a high number is not automatically good news on its own.
2	Growth in institutional relationships	1,090 → 2,850 (2020 → 2025)	Context for #1. Relationships grew 2.6x over the same period, so the 79% is <i>not</i> masking a failure to win new clients. In 2025 alone Ares added 235 new direct institutional investors out of 540 that committed.
3	Multi-fund investor AUM	Disclosed as a chart, 2025 vs 2020	The cross-sell measure — AUM belonging to investors in more than one Ares fund. Ares says it "demonstrates our investors' satisfaction... and diverse product offering." Limit: published as a graphic, so the precise values are not machine-readable.
4	Separately managed accounts	\$139.6bn — 30% of institutional AUM	The depth measure. An SMA is a bespoke single-client mandate. Up from 27% in 2024. Ares says institutions want them for "greater levels of transparency, liquidity and control." You cannot win an SMA from a standing start — they are built on existing trust.
5	Redemption behaviour	>95% of non-traded BDC investors did not request redemptions	The non-redemption measure, disclosed during the worst sentiment in years. Limit: the other <5% were enough to force two pro-rated tenders, so this is a measure of the majority, not of calm.

Sources: Ares FY2025 Form 10-K (Items 1 and 7); FY2020 10-K for the 2020 relationship count; Q1 2026 earnings call for the redemption figure.

CAREFUL · THE TRAP IN THE 79 %

A high "percentage from existing investors" can mean loyalty *or* stagnation. The reason Ares' number is genuinely impressive is **evidence #2**: relationships went from 1,090 to 2,850 over the same window. **Always pair the two.** "Seventy-nine percent from existing investors, while the relationship count went from about eleven hundred to twenty-eight fifty" is a complete argument. The first half alone is not, and a sharp interviewer will push on exactly that.

Direct institutional relationships — the denominator that validates the 79%



Retention and acquisition are both happening. That is the rarer combination, and it is the one worth describing.

PART 4

The machine that produces retention

Retention is not a culture. It is roughly 375 people and four named functions.

This is the part that answers "how is it shown in the firm". Ares has built specific, named, staffed infrastructure whose only purpose is keeping and deepening client relationships. Most of it is disclosed; some of it only appears in leadership biographies.

The client-facing organisation, and what each part does

OPERATIONS MANAGEMENT GROUP — costs not allocated to any investment segment

2,550+ people in total

GLOBAL CLIENT SOLUTIONS

200+ relationship management professionals across North America, Europe, APAC and the Middle East

Raises capital across all funds, services existing investors, tailors offerings, develops products, deepens relationships

The institutional side — pensions, insurers, sovereigns

ARES WEALTH MANAGEMENT SOLUTIONS

175+ professionals covering the global wealth management channel

Product development, distribution, marketing and client management, via broker-dealer subsidiary AMCM

The wealth side — 80+ platforms, 8 semi-liquid products

Supporting functions — the unglamorous machinery that makes the above possible

Product managers

Embedded specialists with deep expertise in *each* investment group, dedicated to servicing existing and prospective investors

Investor relations pros

Also with group-specific experience. Reporting, queries, capital calls, distributions, the quarterly rhythm

RFP & Diligence team

A *dedicated* team for formal tenders and due diligence questionnaires. Most firms make salespeople do this.

Global Conferences & Events

A standing team for investor meetings and annual events — the in-person touchpoints that relationships are built on

The RFP & Diligence and Global Conferences & Events teams both sit under the **Chief Operating Officer of Global Client Solutions**, per her Ares biography.

Sources: Ares FY2025 Form 10-K, Item 1 (team sizes, product managers, IR professionals, AWMS, OMG); Ares leadership biography for the COO reporting lines.

EDGE · THE DETAIL THAT SHOWS HOW SERIOUSLY THEY TAKE THIS

Ares has a dedicated RFP & Diligence team. At most firms, responding to a request for proposal or a due diligence questionnaire is something a salesperson does badly at 11pm. A DDQ can run to hundreds of questions on everything from valuation policy to cybersecurity to key-person provisions, and a weak answer can end a mandate before any human conversation happens. Building a standing team for it is an operational statement: **Ares treats the written, procedural part of client service as a competitive weapon rather than an overhead.** If you want one concrete thing to admire about how they run this function, it is this.

4.1 The scale, in one line

200+

RELATIONSHIP MGMT

Institutional, across four regions.

175+

AWMS WEALTH

Product, distribution, marketing, client management.

~375

COMBINED, DISCLOSED

Before product managers, IR pros, RFP and events teams.

55 → 200+

RM TEAM, 2022 → 2025

Roughly 3.6x in three years, while peers cut distribution.

Note on the 55→200+ series: Ares narrowed its disclosure definition in FY2021, so FY2022 onward is the like-for-like comparison. Do not compare it to the FY2019 figure, which bundled strategy teams in.

The disclosure test

I read all five firms' 10-Ks side by side. Only one quantifies its client function.

There is no public league table of client service quality in private markets — I looked, and it does not exist. So I ran a different test, which is arguably better: **what does each firm choose to tell its own shareholders about its client function in its annual report?** A 10-K is audited, legally binding and tightly edited. What a firm puts in it is what it thinks is material.

FIRM	CLIENT TEAM HEADCOUNT	INVESTOR / RELATIONSHIP COUNT	RETENTION STATISTIC	HOW THE CLIENT FUNCTION APPEARS
Ares	Yes — 200+ relationship management; 175+ AWMS	Yes — 2,850+ relationships; 540 investors in 2025; 235 new	Yes — 79% from existing investors; multi-fund investor chart; 30% in SMAs	A dedicated subsection, "Investor Base and Fundraising", describing the team, its geography and its tasks.
Blackstone	Not found	Not found	Not found	"Client Solutions" appears as a named business unit and in an executive title. Client relationships are described qualitatively.
Apollo	Not found	Partly — "more than 1,000 investors in Apollo's active credit and equity funds"	Not found	The investor count appears as a <i>concentration</i> disclosure — no single investor over 10% of committed capital — rather than a relationship metric.
KKR	Not found	Not found	Not found	"Investor relations" appears mainly in reference to the IR website and executive responsibilities.
Blue Owl	Not found	Not found	Not found	Many mentions, but predominantly in risk factors — failing to maintain investor relationships "could adversely affect our business" — and in cross-sell strategy language.

Method: full-text search of each firm's FY2025 Form 10-K (all filed February 2026) for team headcounts, investor counts and repeat-investor percentages. "Not found" means my searches did not surface it in that filing — see the caveat below.

CAREFUL · STATE THIS PRECISELY OR IT BECOMES AN OVERCLAIM

The honest version is: **"In the 10-K specifically, Ares quantifies its client-facing function in a way its four largest listed peers do not."** It is *not* "Ares has the biggest client team" or "peers don't invest in client service" — neither follows.

Two things keep this fair. **First**, peers disclose elsewhere: Blackstone's Q1 2026 BCRED shareholder letter describes a private wealth platform of **345 professionals** — materially larger than Ares' 175+ AWMS team, against roughly \$324bn of private wealth AUM. **Second**, my method is a text search; a differently-worded disclosure could have been missed. Present it as "when I read the filings side by side, what struck me was..." rather than as an audited finding.

EDGE · WHAT THE DIFFERENCE ACTUALLY SIGNALS

Disclosure is a choice about what management wants to be judged on. Ares puts a retention percentage, a relationship count and a team headcount into a document its CEO signs — which means **it has chosen to be held to them, and will have to explain if they deteriorate**. Blue Owl, by contrast, mentions investor relationships mostly where firms are required to list what could go wrong. That is a real difference in posture, and it is the sort of observation you can only make by having opened all five documents.

5.1 Where competitors are genuinely stronger

A comparison that only flatters Ares is not credible. Two honest points:

Blackstone: scale and brand in wealth

345 private wealth professionals and roughly **\$324bn** of private wealth AUM, versus Ares' 175+ and \$108.4bn across publicly-traded and perpetual wealth vehicles. Blackstone is the better-known consumer brand and reaches more advisers. If pure wealth distribution scale is the measure, Ares is not the leader.

Blue Owl: individual-investor concentration

Roughly **40%** of Blue Owl's \$300bn+ comes from individuals, against Ares' 17% in wealth and listed vehicles. Blue Owl is further down the retail path. The flip side showed in 2026: Blue Owl's funds saw the heaviest redemption requests of the peer set (22% at OCIC, 41% at its tech fund, both capped at 5%).

The fair summary: Ares is not the biggest in wealth distribution, and does not claim to be. It is **the most institutional of the large alternative managers** — 76% of AUM from direct institutional relationships, 30% of that in bespoke SMAs — and it is the one that publishes the evidence.

PART 6

What investors actually say they want

Because "clients value trust" is an assumption until somebody surveys them.

The 2026 SS&C Intralinks LP survey asked institutional investors directly what would improve their relationships with managers, and what builds trust. The answers are strikingly operational — they are about **communication quality**, not performance.

What institutional investors said, 2026 LP survey

What would most improve your GP relationships?



What builds transparency and trust?



Read the top answer carefully. The single biggest driver of trust is not returns. It is *being able to explain how a number was arrived at*.

That is a communication task performed by the client team — and it is precisely the "explain something technical, accurately, to someone who doesn't share your vocabulary" skill.

Source: 2026 SS&C Intralinks LP Survey, as reported in secondary coverage and briefing material. See the honesty note below before quoting these figures.

CAREFUL · SOURCING ON THIS PART IS WEAKER THAN THE REST

These percentages come from **secondary coverage and briefing summaries** of the survey, not the primary report, which I could not obtain. Other figures circulating — such as a claim that 92% of institutional LPs say reporting quality influences re-ups — are attributed to Preqin by vendor blogs **without a verifiable link**, so I have left them out. Use the Intralinks figures as "one 2026 LP survey found..." rather than as hard fact, and do not cite the 92% figure at all.

6.1 The tension worth noticing

Two credible sources point in opposite directions, and holding both is a sign of genuine understanding rather than confusion.

Ares' 10-K says consolidation

"Several large institutional investors have announced a desire to **consolidate their investments in a more limited number of managers**. We expect that this will cause competition in our industry to intensify."

The LP survey says expansion

Nearly **three-quarters of institutional LPs** said they plan to **increase** the number of GP relationships they hold over the next twelve months.

Both can be true, and the reconciliation is the interesting bit. Large, sophisticated investors are concentrating their *core* allocations into fewer, deeper relationships — which favours scaled managers who can take an SMA mandate. Meanwhile the broader LP universe is still widening its roster, often into newer or more specialised strategies.

Either way the conclusion for Ares is the same: if investors concentrate, you must be one of the few they keep; if they expand, you must be one of the ones they add. **Both outcomes are won by the client team**, which is a reasonable one-sentence answer to "why does this function matter strategically?"

Whether you would actually enjoy this

You said you value trust and relationships. Here is the honest version of what that gets you.

It would be easy to tell you this job is a perfect match for someone who likes building trust. Mostly it is. But the match is better than the cliché in some ways and worse in others, and knowing both is what lets you talk about it credibly rather than enthusiastically.

7.1 Where the fit is real

Relationships here are measured in decades

ARCC launched in 2004 and still contributes about **31% of Credit Group management fees**. The European direct lending ladder runs ACE IV (2018) to ACE V (2020) to ACE VI (2022), each larger than the last. Some of the investors in ACE VI were in ACE IV. **You would be joining relationships already a decade old and expected to last another.** If you like compounding trust rather than closing transactions, that is the actual job.

Depth is structurally rewarded

30% of institutional AUM sits in SMAs — bespoke mandates built around one client's constraints. You cannot win one on a pitch; it requires knowing a client's regulatory position, risk appetite and internal politics well enough to design around them. That is a *relationship* product, and the firm has \$139.6bn of them.

The firm is honest with its clients under pressure

When ASIF's tenders were pro-rated, Ares disclosed the uncomfortable detail: how much was requested, how much was honoured, which investor segments were leaving. It also commissioned a nine-week external review of AI risk in its software book and published the findings. **If you value trust, the test is how a firm communicates when the news is bad** — and the evidence here is reasonable.

Breadth, because the function is horizontal

Client Solutions and IR sit in the Operations Management Group, across all four investment groups rather than inside one. You would learn credit, real assets, secondaries and private equity because a client might buy any of them — rather than becoming the person who sells one sleeve.

7.2 Where it will be harder than you expect

Most of the "relationship" is actually accuracy

The romantic version of this job is dinners and conferences. The real version, especially in the first two years, is capital account statements, capital call notices, DDQ responses and quarterly reporting against deadlines set by fund documents that cannot move. **Trust in this industry is built mostly through being reliably correct, not through being personable.** The LP survey bears this out — the top trust driver was explaining valuation methods clearly, not rapport.

Your hardest relationships are internal

You will need time from portfolio managers who do not report to you, whose time is the scarcest resource in the building, to answer a client question. Getting that time repeatedly, without exhausting goodwill, **is** the job. If you enjoy relationships only when they are warm and reciprocal, the internal half of this will be a surprise.

You will deliver news you did not cause

Someone had to tell ASIF investors their redemption request had been cut to 43% of what they asked for. That person did not make the decision and could not change it. Private credit in 2026 means more of these conversations, not fewer.

THE HONEST SUMMARY

If what you like about relationships is **being trusted over a long period**, this is one of the better seats in finance — the time horizons are genuinely long and the firm has built real infrastructure around them. If what you like is **the social side of relationships**, you will find the first two years more procedural than you imagined. The candidates who do well here tend to be the ones who find satisfaction in being the person who always has the right number.

7.3 How to say this without sounding like everyone else

"I'm drawn to the relationship side because of how long the relationships last here. Ares Capital launched in 2004 and still produces about a third of Credit Group management fees. The European direct lending series went from fund four to fund six with the same investors re-upping and committing more each time. And thirty percent of institutional assets sit in separately managed accounts, which you can't win from a pitch — they're built around one client's specific constraints. What I've also realised reading the LP surveys is that trust in this industry is mostly technical: the single biggest driver investors named was clear explanation of valuation methods. So it's less about rapport than I'd assumed, and more about being the person who can explain a number accurately. That suits how I like to work."

Sources and honesty notes

SOURCE	USED FOR
Ares FY2025 Form 10-K filed 25 Feb 2026	The 79% existing-investor statistic; 2,850+ relationships; 540 investors and 235 new in 2025; the multi-fund investor chart; SMAs at \$139.6bn / 30%; relationship management team of 200+ and its four regions; AWMS 175+; product managers and IR professionals per investment group; the OMG description; the "consolidate their investments" competition language; 93% of fees from perpetual or long-dated funds.
Ares FY2019–FY2024 10-Ks	The relationship-count series (850+ in 2019 through ~2,700 in 2024) and the relationship-management headcount series, including the FY2021 definitional change.
Ares Q1 2026 earnings call 1 May 2026	>95% of non-traded BDC investors not requesting redemptions; the redemption stress case; wealth AUM.
Ares 2025 Annual Shareholder Letter	Eight semi-liquid products; 80+ global platforms; "nearly half of our global distribution partners currently offer just one Ares product."
Ares leadership biography COO, Global Client Solutions	That the Global Conferences & Events and RFP & Diligence teams sit under the Global Client Solutions COO.
Blackstone, Apollo, KKR and Blue Owl FY2025 Form 10-Ks all filed Feb 2026	The disclosure comparison in Part 5. Read in full text and searched for client-team headcounts, investor counts and repeat-investor statistics.
Blackstone BCRED Q1 2026 shareholder letter	The 345 private wealth professionals figure.
2026 SS&C Intralinks LP Survey via secondary coverage	The LP survey figures in Part 6 — 25% / 23% / 39% / 18%, and the three-quarters planning to expand GP rosters.

BEFORE YOU QUOTE ANY OF THIS

- **The Part 5 comparison is my own analysis**, done by full-text searching five 10-Ks. "Not found" means my search did not surface it, not that it provably does not exist. Frame it as what struck you reading the filings, not as an audited finding.
- **Blackstone's wealth platform is larger than Ares'** — 345 professionals and ~\$324bn versus Ares' 175+ and \$108.4bn. Do not imply Ares leads in wealth distribution; its lead is in institutional depth.
- **The LP survey percentages are from secondary coverage**, not the primary report. Attribute them loosely. The widely circulated "92% of LPs say reporting quality influences re-ups" figure is unverifiable — I have excluded it and you should too.
- **The 79% is a share, not a retention rate**. It must be paired with the relationship growth from 1,090 to 2,850, or it is a weak argument.
- **The multi-fund investor data is published as a chart**, so I cannot give you the underlying values — only that Ares discloses the comparison and what it says it demonstrates.
- **The £1m-per-£100m fee illustration is mine**, using Ares' roughly 1% blended effective rate. Real fee bases vary by strategy and step down after investment periods.
- **Ares reports Q3 2026 on 29 October 2026** — check it before interviewing, as the redemption and wealth figures may move.

The five things to take from this

1. **Retention is three motions, not one** — the re-up, the cross-sell, and simply not redeeming. The 79% covers the first two.
2. **Pair the 79% with the relationship count** (1,090 → 2,850). Alone, the 79% could just as easily signal stagnation.
3. **Ares has roughly 375 disclosed client-facing people**, plus product managers, IR professionals, a dedicated **RFP & Diligence team** and a standing **Conferences & Events** team.
4. **Of the five big listed managers, only Ares quantifies this function in its 10-K** — headcount, relationship count and a retention percentage. The others mostly describe it qualitatively or in risk factors.
5. **Trust in this industry is technical**. The top driver LPs named was clear explanation of valuation methods — which makes this a precision job before it is a people job.